Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

SFC Environmental Technologies Limited

Mainboard · Wastewater and solid-waste treatment technology · filed 2026-10-19 · lead manager(s): IIFL Capital Services Limited; JM Financial Limited; Nuvama Wealth Management Limited · issue size Rs 668 cr · price band: Rs 313-330 · analysed 2026-10-26

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BUSINESS STAGE

Established leader in its core, scaling into new segments

India's dominant SBR sewage-treatment technology supplier (705 plants, 29.3% operating margin) priced at 20.9x FY26 earnings at Rs 330, against 31-52x for listed peers; our fair value is Rs 392 (Neutral), so Subscribe. Watch cash conversion (FY26 operating cash flow negative) and the Goa plant notices.

Revenue FY26 **₹804 cr** CAGR FY24-FY26: **10.6%**	PAT FY26 **₹154 cr** CAGR FY24-FY26: **4.4%**	EBITDA margin **29.3%** FY24: **29.4%**	Cash conversion (CFO / PAT, 3 yrs) **6.4%**
Cash tax rate (3 yrs) **26.3%**	P/E at reference (post-issue) **20.9x** peer median: **41.7x**	Adjusted P/E (earnings quality) **21.2x** reported: **20.9x**	Blended value (Neutral) **₹391.96** vs reference: **18.8%**
Reference price **₹330** Upper band Rs 330 (RHP / NSE). At Rs 330: market cap Rs 3,232.6 cr post-issue; P/E 20.9x FY26 EPS on post-issue shares (20.0x pre-issue); P/B 3.5x post-issue; EV/EBITDA 13.5x FY26.			

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

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STAGE

Mainboard · RHP

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Basis. Red Herring Prospectus dated **19-Oct-2026** (SEBI filing 105380). The offer has two parts:

- a **fresh issue of Rs 150 cr**;
- an **offer for sale (OFS) of 1,56,82,750 shares** of Rs 2 by two promoters and seven other shareholders, up from 1,23,07,500 in the DRHP.

At the upper band the issue is about **Rs 667.5 cr**, of which the OFS is Rs 517.5 cr (78%). No pre-IPO placement was made.

Terms and timetable (RHP cover and p. 585):

Item	Detail
Price band	**Rs 313-330**
Lot	45 shares (Rs 14,850 at the upper band)
Anchor bidding	26-Oct-2026
Bid / issue period	**27-Oct to 29-Oct-2026**
Basis of allotment	on or about 30-Oct-2026
Listing on NSE and BSE	on or about 3-Nov-2026

BRLMs: IIFL Capital Services, JM Financial and Nuvama Wealth Management; registrar MUFG Intime. Restated consolidated financials cover FY24-FY26 and the three months to **30-Jun-2026** (118 days old). All figures are from the RHP (Rs million converted to Rs crore); printed page numbers are cited (printed page = PDF page).

Judged at the **upper band, Rs 330**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** environmental technology for:
    - **wastewater treatment (WWT):** its proprietary C-Tech sequencing batch reactor (SBR) process plus the key equipment (decanters, diffusers, turbo blowers, fibre-disc filters, solar sludge dryers) and PLC / SCADA automation, then supervision, O&M and spares;
    - **wastewater recycling and reuse (WRR):** DuPont ultrafiltration, CCRO and MBR membranes, under an exclusive Indian distribution agreement;
    - **solid waste treatment (SWT):** integrated municipal-waste plants, now also compressed biogas (CBG). (pp. 299-300)
- **Scale:** 705 WWT installations treating 17,144 MLD at Mar-26 (724 / 17,465 MLD at Jun-26). F&S, in an issuer-paid report, puts its share of India's SBR market above 80% (pp. 188, 299).
- **Segments, FY26 (p. 501):**

Segment	Revenue	Segment result
WWT	Rs 542.76 cr (68%)	Rs 172.67 cr
SWT	Rs 140.16 cr (17%)	Rs 40.13 cr
Automation (Chavare Engineering)	Rs 106.50 cr (13%)	Rs 11.95 cr
WRR (new)	Rs 14.21 cr	Rs 9.22 cr

- **Customers:** mainly EPC contractors building municipal STPs, plus Goa Waste Management Corporation (GWMC) in SWT. Top customer 14.34% and top-10 64.44% of FY26 revenue (p. 307).
- **New lines:** two CBG plants (Tinsukia 125 TPD, Bhubaneswar 300 TPD) won by subsidiary HWTPL from a public-sector oil company, Rs 501.70 cr including 10-year O&M (p. 300). It also bought 80% of IST-Anlagenbau GmbH (Germany, solar sludge dryers) on 30-Jul-2025 for Rs 32.32 cr (pp. 312, 510).

- **Order book:** Rs 1,574.52 cr at Mar-26 (2.0x FY26 revenue) and Rs 1,570.07 cr at Jun-26, against Rs 560.39 cr a year earlier (pp. 184, 188).

Stage of the business

Classification: an established leader in its core business, scaling into new segments.

Evidence	Reading
Revenue Rs 657.50 → 697.86 → 803.63 cr (FY24-26); +15.2% in FY26	Growth back after a flat FY25
WWT revenue Rs 469.21 → 542.76 cr in FY26 (+15.7%)	The core recovered
Order book Rs 1,574.52 cr (2.0x revenue), boosted by CBG and WRR	Visibility for FY27-28
Operating EBITDA margin 29.39% / 29.73% / 29.34%	A high-margin technology business
Working capital 60% → 71% → 77% of revenue; FY26 CFO negative	Growth absorbs cash

2. Industry outlook

Industry figures come from the Frost & Sullivan report commissioned and paid for by the issuer; we have not checked them independently.

- **Sewage treatment:** India's market grew 5.4% a year over FY20-25 and is projected to grow 9.6% a year over FY25-30 (p. 173).
- **Recycling and reuse (tertiary treatment):** Rs 1,870 cr in FY26, projected to reach Rs 7,013 cr by FY31, a 30.3% CAGR (p. 173).
- **Compressed biogas:** F&S estimates CBG production at 1.7 MMTPA in FY26, which could reach 26.5 MMTPA by FY31 under the CBG blending obligation on oil marketing companies (p. 173).
- **Competition:** listed water / bio-energy players Thermax, Praj Industries and Ion Exchange (p. 186), VA Tech Wabag, and many EPC contractors. SFC's position is upstream: the technology supplier the EPC contractor specifies at tender stage.
- **Read for an investor:** demand is policy-led and long-term; the cash cycle follows municipal payment cycles through the EPC contractor.

3. Moat and SWOT analysis

Moat

- **Installed base and specification:** over 80% of India's SBR STP installations (issuer-paid F&S) means consultants and EPC contractors specify C-Tech, and each plant adds spares and O&M (p. 299).
- **Proprietary process plus in-house equipment:** C-Tech and OREX are proprietary; decanters, blowers (Turbomax JV), automation and now solar dryers (IST) are made in-house, so it earns technology and equipment margins together (pp. 299, 312). WWT segment result was 31.8% of segment revenue in FY26 (p. 501).
- **Exclusive DuPont membranes** for municipal WRR in India (p. 299).
- **Operating record in SWT:** an 8-year-old integrated MSW-to-biogas plant in Goa, which supports CBG bids (p. 300).
- **Limits:** contracts are mostly purchase orders, and payment depends on EPC contractors and municipal budgets.

STRENGTHS

- Over 80% share of India's SBR STP installations; 705 plants, 17,144 MLD at Mar-26 (issuer-paid F&S; RHP pp. 188, 299)
- Operating EBITDA margin 29.3% in FY26 (p. 188)
- Order book Rs 1,574.52 cr, 2.0x FY26 revenue (p. 188)
- WWT revenue back to growth: +15.7% in FY26 (p. 501)
- Profit taxed in cash: current tax 27% of PBT (p. 412)

WEAKNESSES

- Operating cash flow negative in FY26 and Q1 FY27 (p. 417)
- Working capital 76.5% of revenue; cash conversion cycle 242 days (pp. 188, 411)
- Net debt Rs 38.82 cr at Mar-26 after net cash a year earlier (p. 188)
- Top-10 customers 64.44% of revenue (p. 307)
- Q1 is seasonally weak: Q1 FY27 PAT Rs 1.48 cr (p. 412)

OPPORTUNITIES

- Tertiary treatment market projected at 30.3% CAGR FY26-31 (issuer-paid F&S, p. 173)
- CBG plant orders of Rs 501.70 cr with 10-year O&M (p. 300)
- DuPont membranes for municipal water reuse (p. 299)
- Solar sludge dryers via the IST-Anlagenbau acquisition (p. 312)

THREATS

- Ten pending Goa pollution-board / GWMC notices and an FIR at the SWT plants (pp. 554-556)
- EUR 5.60 m (Rs 59.75 cr) claim in Portugal (p. 556)
- Municipal payment delays via EPC contractors (p. 31)
- Technology displacement (p. 28)

4. Management analysis and governance

- **Board (eight directors, p. 367):**
  - Executive directors: Sandeep Asolkar (Chairman and MD, a director since 2005), Sarvesh Kumar Garg, S. P. Dhandoriya (SWT subsidiaries) and Prachiti Asolkar.
  - Independent directors: Neha Gada, Mulesh Savla, Amruta Patankar and Divya Momaya.
  - The board has been reconstituted since the DRHP. Chandrakant Gogri is no longer a director, and three of the four independent directors are new.
- **Executives:** CFO Amit Sawant; Company Secretary Shweta Deshpande. Prachiti Asolkar was also named Chief Strategy Officer in Aug-2025 (p. 389).
- **Ownership:** promoters 42.84% and promoter-group company Asolkar Tradecraft 5.33% before the offer (pp. 163-165). After the promoters sell 46.70 lakh shares in the OFS and the fresh issue at Rs 330, the group would hold about 41% (our computation).
- **Who is selling (cover):** the OFS is 1,56,82,750 shares.
  - Promoters: S. P. Dhandoriya 37.36 lakh; Sandeep and Priya Asolkar 9.34 lakh.
  - Other shareholders: Sarvesh Garg 35.65 lakh; Sandeep Parab, Rajesh Nambisan and Kumaraguru Madurakavi 21.36 lakh each; V. V. S. Yannamani 9.33 lakh; Jayshree Shah 0.70 lakh; Hardik Matalia 0.37 lakh.
  - Their average cost is Rs 36.72 a share (Rs 42.85 for Jayshree Shah).

- **Pay and dividends:** CMD pay Rs 4.21 cr in FY26 (p. 99). An interim dividend of Rs 3 a share (Rs 28.02 cr) was declared on 04-Sep-2026, before the IPO (p. 510).
- **Related parties:** small outside the group: purchases from Turbomax India (a JV) Rs 3.28 cr and a Rs 12.25 cr equity investment in it in FY26 (pp. 99-100).
- **Litigation and compliance (pp. 553-557):**
  - **Goa plants:** ten show-cause notices since Jul-2025 from the Goa State Pollution Control Board and GWMC to subsidiaries HWTPL (North Goa) and VWTPL (South Goa). They concern effluent discharge, leachate, waste handling and effluent parameters. Responses have been filed and all are pending. GWMC's general manager also filed an FIR in Aug-2025 over effluent from a reverse-osmosis tank. GWMC is also the SWT customer.
  - **Portugal:** Municipality of Paços de Ferreira claims EUR 5.60 m (Rs 59.75 cr, 7.4% of net worth) from SFC Umwelttechnik GmbH; defence filed Oct-2024, pending. Two former MDs of that subsidiary claim deferred pay of about EUR 0.2-0.3 m in Austria.
  - **Tax:** 14 cases against the company, Rs 3.21 cr.
- **Audit:** G B C A & Associates LLP; no qualifications (p. 403).
- **Read:** an owner-run company with an experienced founder and modest related-party dealings. The recurring Goa notices point to operational compliance at the two waste plants. They are a real watch item for the SWT business, about 17% of revenue, but on the RHP's disclosure they are not a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26	Q1 FY27 (3 months)
Revenue from operations	657.50	697.86	803.63	133.94
Growth	26.6%	6.1%	15.2%	97.6% vs Q1 FY26
Operating EBITDA (issuer KPI)	193.25	207.48	235.81	9.86
Operating EBITDA margin	29.39%	29.73%	29.34%	7.36%
Other income	19.07	29.11	17.64	3.95
Finance cost	8.83	13.37	14.86	5.39
PAT (total)	144.17	152.01	160.21	1.48
PAT attributable to owners	141.61	144.06	154.36	1.51
EPS (Rs)	15.16	15.42	16.52	0.16
Cash flow from operations	-11.69	65.51	-25.80	-21.34
Trade receivables (current + non-current)	394.51	487.37	660.17	511.11
Inventory	108.41	97.58	125.14	142.30
Borrowings	139.16	83.71	195.64	204.77
Net debt (KPI)	-49.45	-52.35	38.82	64.45
Net worth (owners)	534.30	648.68	804.17	805.49
ROE (issuer)	29.80%	24.84%	21.55%	0.18% (not annualised)
ROCE (issuer)	28.56%	29.29%	22.21%	0.72% (not annualised)

Rs crore	FY24	FY25	FY26	Q1 FY27 (3 months)
Cash conversion cycle (days)	156	232	242	411

Sources: pp. 188, 411-412, 417. Q1 is seasonally weak (Q1 FY26 was a loss), so the quarter is not annualised.

At the upper band (Rs 330):

- **Shares:** fresh issue about 45.45 lakh shares; post-issue shares 9.7957 crore.
- **Market cap and P/E:** Rs 3,232.6 cr; P/E **20.9x** FY26 owners' EPS on post-issue shares (20.0x on the issuer's EPS of Rs 16.52).
- **Book:** post-issue net worth about Rs 927.5 cr (after the Rs 28.02 cr interim dividend), P/B 3.5x.
- **EV:** Rs 3,175.1 cr, EV/EBITDA 13.5x FY26.
- **At Rs 313:** P/E 19.9x.

As disclosed by the company (Basis for Offer Price)

Item	As disclosed
Restated PAT, FY26 (attributable to owners; total Rs 160.21 cr)	Rs 154.36 cr
EPS, FY26 (basic / diluted)	Rs 16.52 / Rs 16.52
P/E at floor price Rs 313 (basic / diluted)	18.95x / 18.95x
P/E at cap price Rs 330 (basic / diluted)	19.98x / 19.98x
Industry peer P/E (highest / lowest / average)	220.77x / 31.34x / 101.38x

Source: RHP pp. 184-185 (Basis for Offer Price); PAT p. 412. The RHP prints the issuer's P/E as [●] until the price band is fixed; the P/E shown is the band divided by the company's own EPS, the computation the price-band advertisement makes. These are pre-issue, latest-full-year figures; our own P/E elsewhere in this report is on post-issue shares.

Positives and points to monitor

Positives	Points to monitor
Revenue +15.2% and WWT +15.7% in FY26 (pp. 412, 501)	FY26 CFO -Rs 25.80 cr; receivables +Rs 173.64 cr (p. 417)
Margin steady near 29% (p. 188)	Net debt Rs 64.45 cr at Jun-26 (p. 188)
Order book 2.0x revenue (p. 188)	Ten pending Goa notices (pp. 554-556)
Profit taxed in cash (p. 412)	Interim dividend of Rs 28.02 cr while CFO was negative (p. 510)

Is the reported P/E right? Earnings quality at Rs 330

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -1.0%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 22.0x reported and 22.7x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	154.36	15.76	**20.9x**
FY26 after: asset-sale gains	152.79	15.6	**21.2x**
FY26 after: ceased JV share	152.79	15.6	**21.2x**
FY26 after: insurance claims	152.79	15.6	**21.2x**
FY24-FY26 average, reported	146.68	14.97	**22.0x**
FY24-FY26 average, adjusted	142.18	14.51	**22.7x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Gains on sale of property, plant and equipment and investment property (in other income) Gains on sale of PPE Rs 1.64 / 5.65 / 1.53 cr and of investment property Rs 1.66 / 3.96 / 0.57 cr FY24-26. Cash gains, but not from operations.	-3.31	-9.61	-2.1	! YES	High	21.2x	pp. 417, 471
Share of profit of a joint venture that ceased in Aug-2023 FY24 share of profit (Rs 2.41 cr) came largely from a JV that ceased on 08-Aug-2023 and from HWTPL before it became a subsidiary; it does not recur.	-2.41	0	0	! YES	Medium	20.9x	p. 412

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Insurance claims (in other income) Insurance claim Rs 0.62 cr in FY25; one-off.	0	-0.62	-0	! YES	Medium	20.9x	p. 477
Miscellaneous income (in other income) Rs 1.82 cr in FY26, not itemised; shown for information.	-0.19	-0.16	-1.82	No (information)	Low	21.1x	p. 477
Interest on fixed deposits and loans (treasury income) Recurring while cash is held, but non-operating; excluding it gives the operating P/E. For information.	-13.11	-15.15	-11.63	No (information)	High	22.2x	p. 477

Also checked, no adjustment needed

✓ PASS Capital work in progress Rs 6.81 cr (FY26) relates to plant additions; no capitalised borrowing or development cost disclosed (p. 411)

✓ PASS Contract assets of Rs 16.12 cr (FY26) and Rs 35.95 cr (Jun-26) are revenue earned ahead of billing on EPC contracts, recognised under Ind AS 115 (p. 469)

✓ PASS Goodwill of Rs 27.51 cr from the IST acquisition is tested for impairment; none recognised (p. 457)

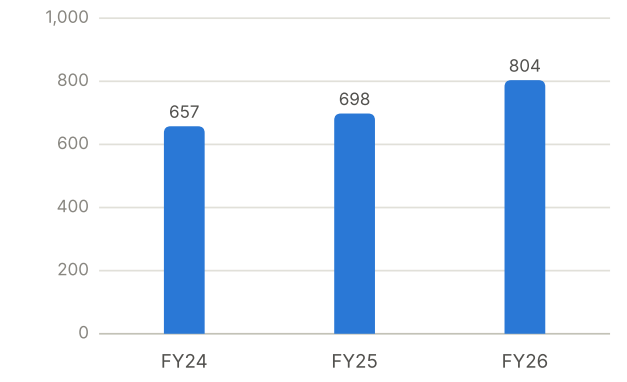
✓ PASS Expected-credit-loss charge Rs 0.84 cr in FY26 goes through profit (p. 412)

✓ PASS No exceptional items in FY24-26 (p. 412)

✓ PASS Profit taxed in cash: current tax 27.0% of FY26 PBT (p. 412)

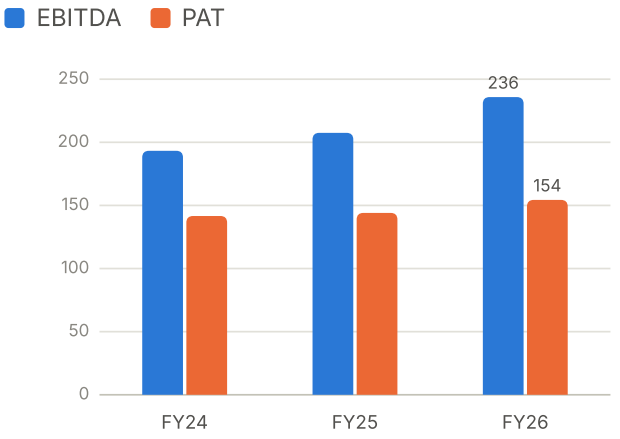
Revenue from operations

Rs crore



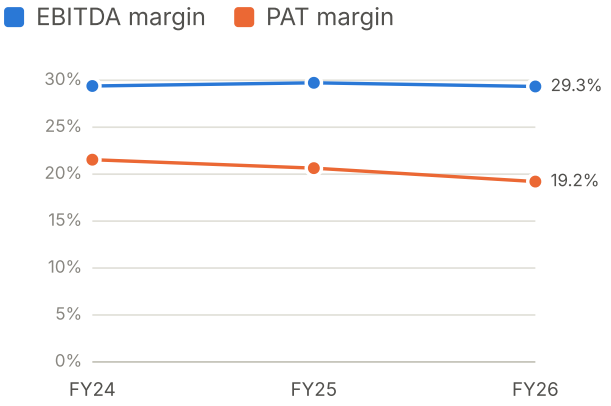
EBITDA and PAT

Rs crore



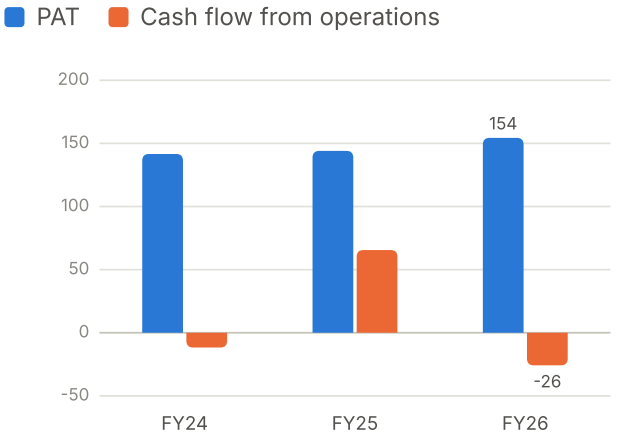
Margins

% of revenue



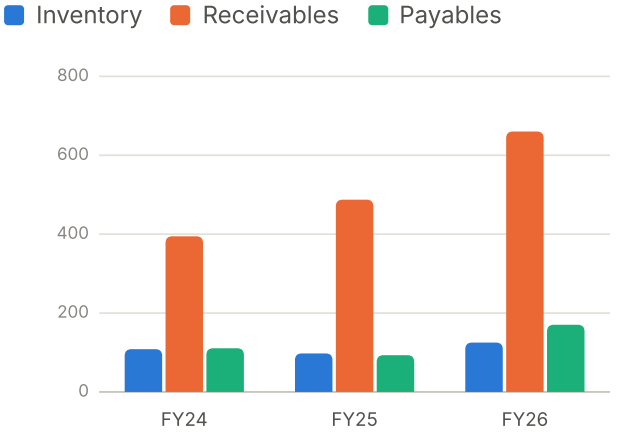
Profit and operating cash flow

Rs crore



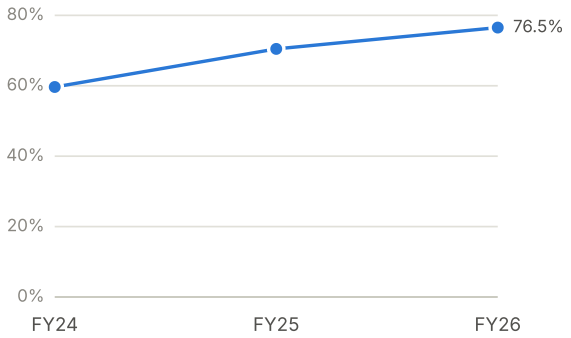
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

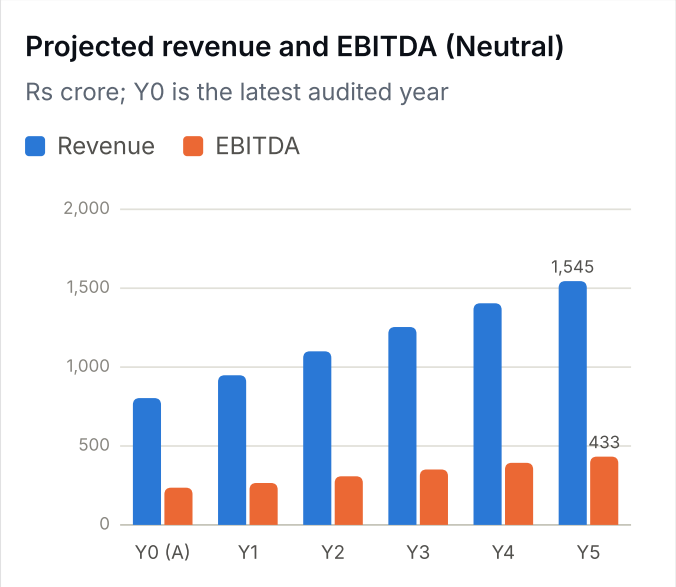
Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

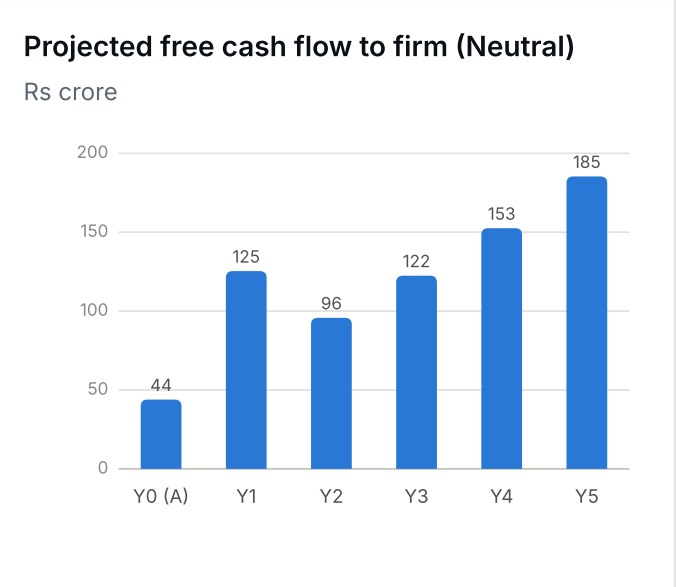
- **Visibility:** the Rs 1,574.52 cr order book covers about two years of revenue. Part of it, the CBG plants, runs over a decade because it includes 10-year O&M (pp. 188, 300).
- **Use of the issue:** Rs 42.23 cr to prepay borrowings of the company and Vasudha Waste Treatment, Rs 74.92 cr for working capital (both in FY27), balance general corporate purposes (p. 168). This should return the balance sheet to near net cash.
- **Watch:** whether collections catch up with revenue in FY27; the cash conversion cycle has been at 230-240 days for two years.

Neutral projection used in the model (Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	15.2%	18%	16%	14%	12%	10%
Revenue from operations	803.63	948.28	1,100.01	1,254.01	1,404.49	1,544.94
Operating EBITDA (28%)	235.81	265.52	308.00	351.12	393.26	432.58
Free cash flow to firm	n.a.	125.3	95.7	122.4	152.5	185.3

Year 1 includes some release of working capital as the ratio moves from 76.5% to the Neutral 70% of revenue.



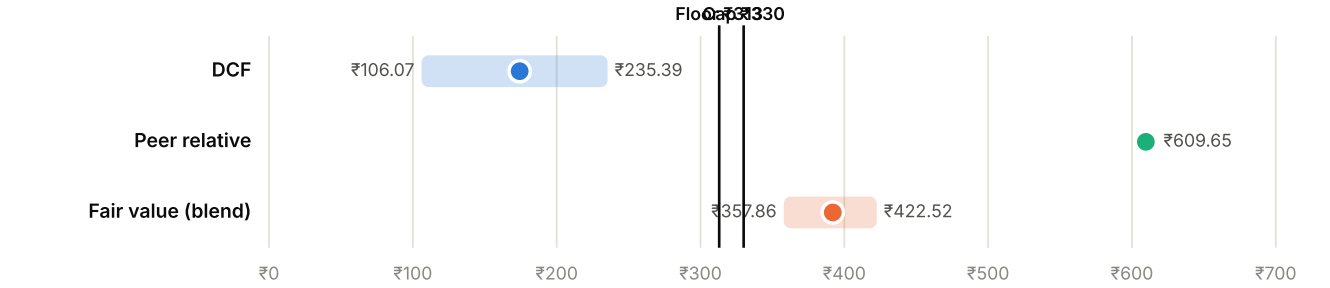


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 330 (RHP / NSE). At Rs 330: market cap Rs 3,232.6 cr post-issue; P/E 20.9x FY26 EPS on post-issue shares (20.0x pre-issue); P/B 3.5x post-issue; EV/EBITDA 13.5x FY26.

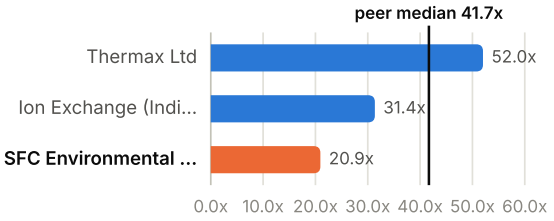
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



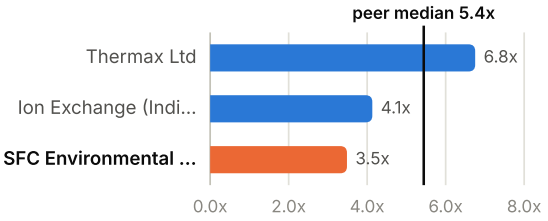
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹106.07	₹609.65	**₹357.86**	8.4%
Neutral	₹174.27	₹609.65	**₹391.96**	18.8%
Bull	₹235.39	₹609.65	**₹422.52**	28.0%

WACC **14.3%**

Terminal value share of EV **72.8%**

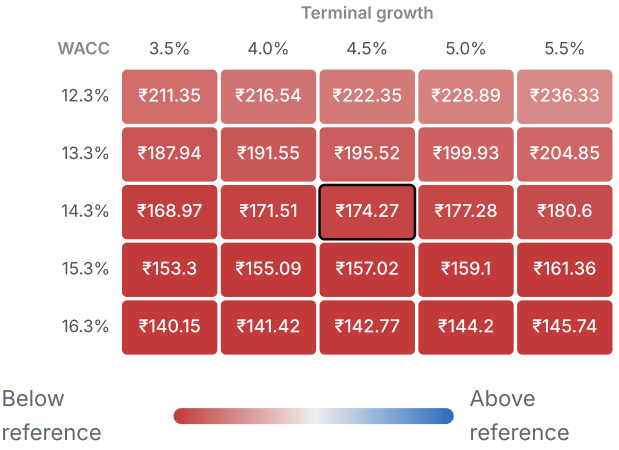
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	12.7%	4.5%
implied WACC at terminal g	5.9%	14.3%
required EBIT margin (steady state)	63.9%	25.9%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	76.5%

The price asks the business to deliver 72.3 times its current free cash flow, in perpetuity.

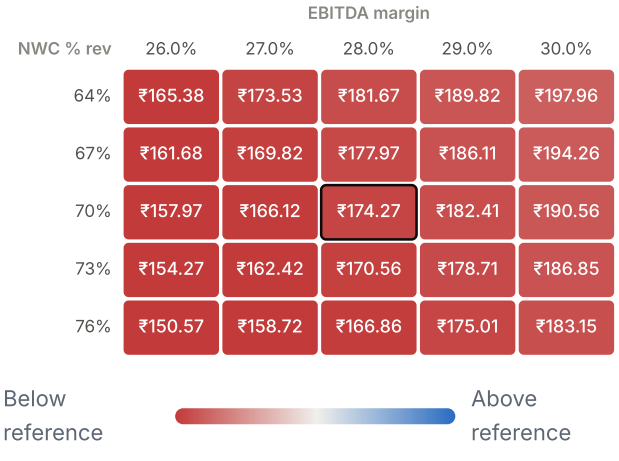
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the RHP's "Basis for Offer Price" (p. 186): BSE closes on 16-Oct-2026 and FY26 consolidated figures.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
Thermax	3,325.75	10,694.15	63.94	492.55	13.74%	52.0x	6.8x
Praj Industries	287.00	3,167.88	1.30	71.22	1.77%	220.8x	4.0x
Ion Exchange (India)	377.20	2,914.84	12.03	91.30	11.20%	31.3x	4.1x
SFC at Rs 330 (post-issue)	330	803.63	16.52	86.23	21.25%	**20.9x**	**3.5x**
Peer median (Thermax, Ion Exchange)					12.5%	41.7x	5.4x

Read:

- SFC is much smaller than its peers but earns about twice their return on equity and a higher margin.
- At Rs 330 it is priced at 20.9x earnings, below Ion Exchange (31.3x), the closest business, and well below Thermax (52.0x).
- **Why Praj is excluded from the median:** its FY26 EPS of Rs 1.30 makes its 220.8x P/E meaningless. Including it would raise the peer median to 52.0x and lift the relative value further, so excluding it is the conservative choice.

DCF and fair value

Inputs (FY26 P&L; Jun-26 balance sheet; Rs crore):

- **P&L:** revenue 803.63; operating EBITDA 235.81; D&A 27.85; owners' PAT 154.36.
- **Balance sheet:**
  - net worth 777.47 (Jun-26, after the Rs 28.02 cr interim dividend);
  - net debt 92.48 (Jun-26 KPI net debt Rs 64.45 cr plus the dividend; leases excluded as in the KPI);
  - trade working capital 615.04 (FY25 491.78).
- **Capex:** modelled at D&A (FY26 capex Rs 16.28 cr).
- **Issue:** fresh issue Rs 150 cr credited in the equity bridge.

Cost of capital (house CAPM, editable):

- Cost of equity 16.2%: risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium.
- Pre-tax cost of debt 9.0%; debt weight 20%.
- **WACC 14.31%**; terminal growth 4.50%.
- Terminal value is 72.8% of enterprise value in the Neutral case.

Rs per share	Bear	Neutral	Bull
DCF	106.07	174.27	235.39
Relative (peer-median P/E and P/B)	609.65	609.65	609.65
Fair value (50:50 blend)	**357.86**	**391.96**	**422.52**
Against Rs 330 (upper band)	+8.4%	+18.8%	+28.0%
Against Rs 313 (floor)	+14.3%	+25.2%	+35.0%

- **Scenario drivers** (Bear / Neutral / Bull; rationale and page cites are in the valuation workbook):

Driver	Bear	Neutral	Bull
Revenue growth a year	6-8%	10-18%	12-25%
Operating EBITDA margin	24%	28%	30%
Working capital (% of revenue)	80%	70%	60%
Terminal ROIC	15%	20%	25%

- **Why DCF and peers diverge (-71%):** the DCF discounts at 14.3% and charges the business for the working capital its growth needs (about 70 paise per rupee of extra revenue). That caps it near 11x FY26 earnings. Listed water and energy peers trade at 31-52x. The divergence is the finding: the band sits between the two, much closer to the cash-flow view than to peer multiples.
- **Sensitivity (Neutral DCF):**
  - WACC 12.3-16.3% gives Rs 222-143.
  - Working capital at 60% / 76.5% / 80% of revenue gives Rs 187 / 166 / 162.
- **Earnings quality and the relative value:** the reported P/E is a fair measure (part 5), so the relative value needs no adjustment.
- **Reverse DCF at Rs 330:** the price asks the business to deliver 72.3 times its current free cash flow in perpetuity. One lever at a time, it needs perpetual growth of 11.9% (vs 4.5%), or a WACC of 9.9% (vs 14.3%), or a steady-state EBITDA margin of about 47% (vs 28%). **In plain words: the price pays for some franchise value beyond today's cash flows, but stays well below what listed peers command.**

8. Areas to watch and growth drivers

Growth drivers to track

- **Order execution:** conversion of the Rs 1,570.07 cr order book (Jun-26) into revenue, especially the two CBG plants (pp. 188, 300).
- **Collections:** receivables and the cash conversion cycle (242 days in FY26) coming down after the working-capital infusion.
- **WWT momentum:** whether FY26's +15.7% continues (p. 501).
- **WRR:** growth beyond the first Rs 14.21 cr of revenue with DuPont membranes (p. 501).
- **Margins:** operating EBITDA near 28-30% as lower-margin EPC work grows.

Points to monitor

Item	Now	Why it matters to an investor
Cash conversion	FY26 CFO -Rs 25.80 cr; Q1 FY27 -Rs 21.34 cr (p. 417)	Profit must start turning into cash
Goa compliance	Ten pending SCNs and an FIR (pp. 554-556)	SWT plant operations and the GWMC relationship
Portugal claim	EUR 5.60 m pending (p. 556)	Possible outflow, 7.4% of net worth
Leverage	Net debt Rs 64.45 cr at Jun-26 (p. 188)	Should fall after the Rs 42.23 cr prepayment
OFS	78% of the issue to sellers at an average cost of Rs 36.72	Signals early holders monetising
Board	Three of four independent directors are new (p. 367)	Oversight continuity

What would change our view

- **Firmer:** FY27 operating cash flow back above PAT, receivable days falling, and CBG revenue starting.
- **Towards Neutral:** another year of negative cash flow, or an adverse order at the Goa plants that disrupts SWT revenue.
- **Price:** under the call rule the issue reads Subscribe up to about Rs 440 on these numbers, so the whole band (Rs 313-330) is inside the Subscribe zone.

Risks

- Payment delays from municipalities via EPC contractors (p. 31).
- Customer concentration and purchase-order contracts (p. 307).
- Working-capital needs of SWT and CBG projects.
- Environmental compliance at operated waste plants (pp. 554-556).
- Technology change in wastewater treatment (p. 28).

9. Conclusion

CALL

Subscribe

STAGE

Mainboard · RHP

India's dominant SBR sewage-treatment technology supplier (705 plants, 29.3% operating margin) priced at 20.9x FY26 earnings at Rs 330, against 31-52x for listed peers; our fair value is Rs 392 (Neutral), so Subscribe. Watch cash conversion (FY26 operating cash flow negative) and the Goa plant notices.

Business stage Established leader in its core, scaling into new segments

Subscribe at Rs 330 (upper band).

The investment case. SFC is the dominant technology supplier for SBR sewage treatment plants in India: 705 installations, a 29% operating margin, a business that grew 15% in FY26 with its core WWT segment recovering, and an order book of twice annual revenue after wins in compressed biogas and water reuse. At Rs 330 it is priced at 20.9x FY26 earnings, below every listed peer. The reported P/E is a fair measure of its earnings.

What to keep an eye on. Cash conversion is the weak spot: working capital has risen to 77% of revenue and operating cash flow was negative in FY26 and Q1 FY27. About four-fifths of the offer goes to early shareholders whose average cost is Rs 36.72. The Goa waste plants have collected ten pollution-board and customer notices since Jul-2025.

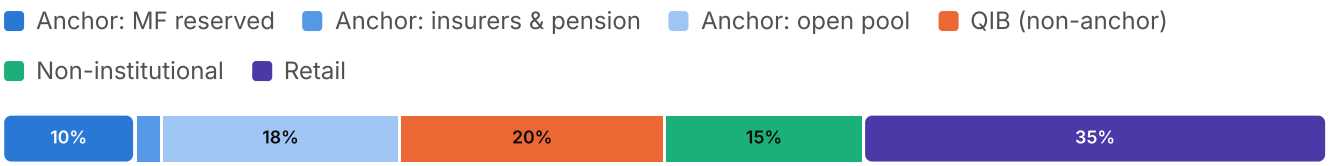
Valuation. Fair value Rs 358 / **Rs 392** / Rs 423 (Bear / Neutral / Bull). **Call rule:** at the upper band the Neutral value is 18.8% above the price, so the call is **Subscribe**. Even the Bear value (+8.4%) is above the price. No material issue was found.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 668 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	30.34	30
Anchor - tranche 2	30.34	90
Pre-issue non-promoter shareholders (net of OFS)	374	180
Promoter and promoter-group holding above 20% of post-issue capital	207.37	180
Promoters' minimum contribution (20% of post-issue capital)	195.91	540

Lead manager: JM Financial Limited

Listed: Yes (NSE: JMFINANCIL)
Owner: Promoted by the Kampani family: J M Financial & Investment Consultancy Services Pvt Ltd 24.77%, Nimesh Kampani 13.11%, J M Assets Management Pvt Ltd 11.36%, Aruna Kampani 2.82%, SNK Investments 1.95%, Vishal Kampani 1.36%; promoter group about 57% (June 2026)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	19	54,666
FY2025-26	27	67,532
FY2024-25	13	25,543

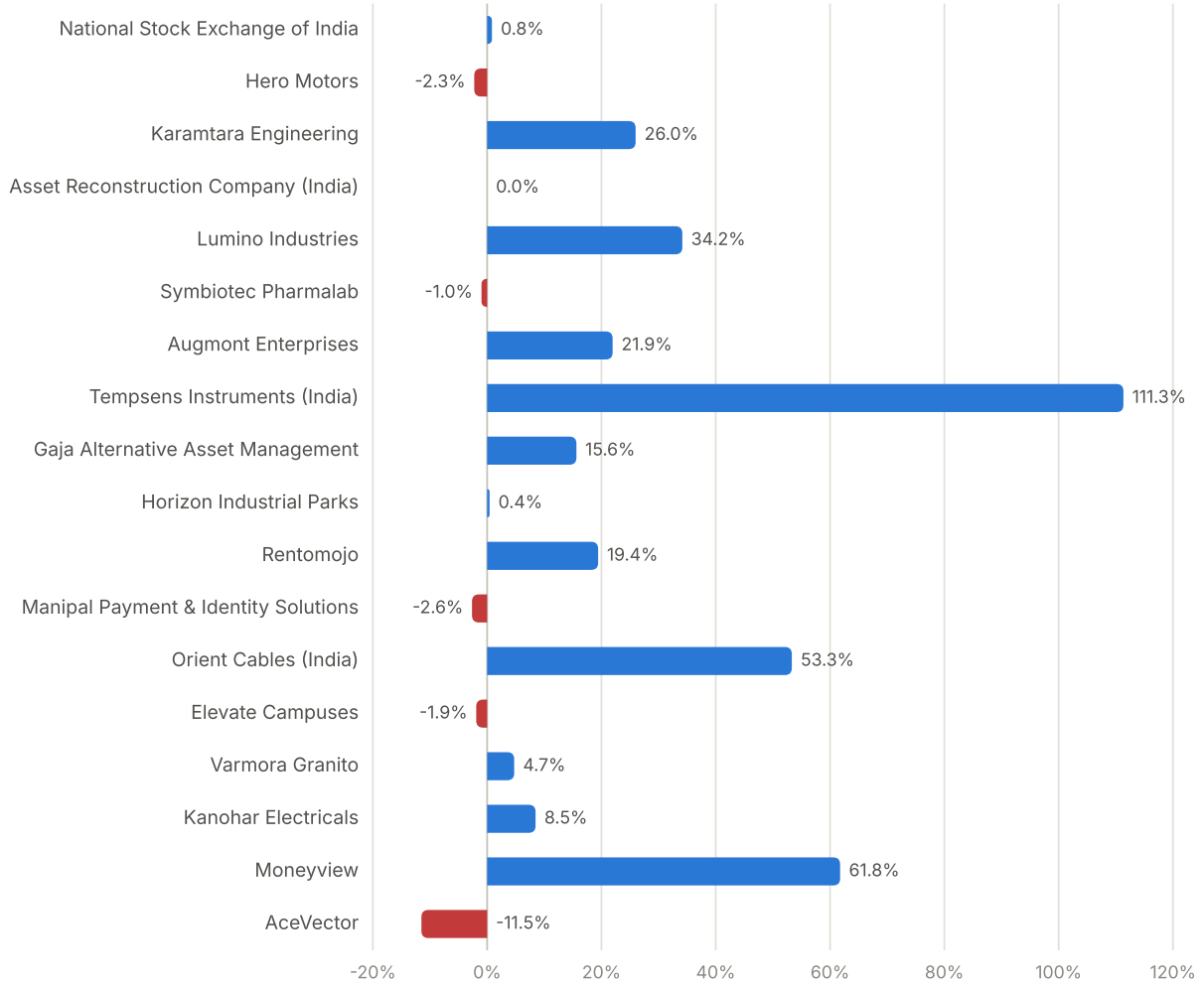
Lead manager: IIFL Capital Services Limited

Listed: Yes (formerly IIFL Securities Limited) - listing status per secondary sources, unverified
Owner: Promoter group led by the IIFL founders; shareholding percentages not sourced in this run

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2024-25	16	48,174
FY2025-26	29	71,009
FY2026-27	19	42,072

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	9,34,11,270 shares of Rs 2 (post 1:5 split and 2:1 bonus of Sep-2024); FY26 EPS Rs 16.52. No pre-IPO placement was made; share count unchanged since the DRHP.	pp. 186, 412
2	Cash flow vs profit	! WATCH	Operating cash flow Rs -11.69 / +65.51 / -25.80 cr FY24-26 against owners' PAT Rs 141.61 / 144.06 / 154.36 cr: cumulative CFO 6% of PAT. Trade receivables rose by Rs 173.64 cr in FY26; cash conversion cycle 156 → 232 → 242 days (411 days at Jun-26, seasonal). Q1 FY27 CFO -Rs 21.34 cr. The working-capital object (Rs 74.92 cr) is sized for this.	pp. 188, 417
3	Current vs deferred tax	✓ PASS	Current tax 27.0% of FY26 PBT; income tax paid Rs 60.00 cr in FY26. Profit is taxed in cash.	pp. 412, 417
4	Related-party capex & subsidiaries	✓ PASS	Related-party dealings outside the group are small (Turbomax India purchases Rs 3.28 cr in FY26; Rs 12.25 cr equity investment in Turbomax). CMD pay Rs 4.21 cr in FY26. Interim dividend of Rs 28.02 cr (Rs 3 a share) declared 04-Sep-2026, before the IPO.	pp. 99-100
5	Objects arithmetic as price floor	– N.A.	Amount-based fresh issue (Rs 150 cr): Rs 42.23 cr debt prepayment, Rs 74.92 cr working capital (both in FY27), balance GCP. No capex object, no fixed share count.	p. 168
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	! WATCH	Goodwill up from Rs 2.81 cr to Rs 30.32 cr after buying 80% of IST-Anlagenbau GmbH (Germany, solar sludge dryers) on 30-Jul-2025 for Rs 32.32 cr, against Rs 4.81 cr of net assets acquired; no impairment so far.	pp. 457, 510
8	Customer / supplier / geographic concentration	✓ PASS	Top customer 14.34% and top-10 64.44% of FY26 revenue (79.20% in the seasonal Q1 FY27); top supplier 17.18% of purchases.	pp. 48, 307
9	Contingent liabilities	! WATCH	Ten show-cause notices (Jul-2025 to Sep-2026) from the Goa SPCB and GWMC to subsidiaries HWTPL and VWTPL over effluent and waste-handling at the North and South Goa plants, plus the Aug-2025 FIR; responses filed, all pending. Portugal claim EUR 5.60 m (Rs 59.75 cr, 7.4% of net worth) against SFC Umwelttechnik GmbH pending; two ex-MDs of that subsidiary claim about EUR 0.2-0.3 m in Austria.	pp. 554-557
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! WATCH	G B C A & Associates LLP; no qualifications. Overseas subsidiaries' accounts partly certified by management (FY24-25 per DRHP); confirm audit status in the RHP auditor's report.	p. 403
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	✓ PASS	Fresh issue Rs 150 cr: monitoring agency required.	p. 168
R4	Eligibility re-computation	○ OPEN		

#	CHECK	RESULT	FINDING	PAGE
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover
R6	Lead-manager track record	✓ PASS	IIFL Capital and JM Financial track records in the desk database; Nuvama's FY27 issues listed in the RHP.	pp. 575-578
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue Rs 150 cr plus an OFS of 1,56,82,750 shares; QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (cover, p. 590).
- **Objects:** prepayment of borrowings Rs 42.23 cr; working capital Rs 74.92 cr; general corporate purposes up to 25% of gross proceeds (p. 168).
- **Share history:** 1:5 split and 2:1 bonus on 05-Sep-2024; 9,34,11,270 shares of Rs 2 before the offer; no pre-IPO placement (p. 155).
- **Anchor book:** anchor bidding on 26-Oct-2026 (RHP cover). The allocation report is on nsearchives.nseindia.com, which is not reachable from this environment, so investors, amount and mutual-fund share are not recorded here.
- **Subscription at the time of writing:** issue opens 27-Oct-2026.
- **Lock-ins (no capex object):**

Holder	Shares	Lock-in
Promoters' minimum contribution (20% of post-issue capital)	about 195.91 lakh	18 months
Rest of the promoter-group holding	about 207.37 lakh	six months
Other pre-issue holders (net of OFS)	about 374.00 lakh	six months
Anchor shares	-	50% for 30 days, 50% for 90 days

Appendix B: Merchant bankers

- **IIFL Capital Services Limited:** 16 / 29 / 19 IPOs managed in FY25 / FY26 / FY27 to date (desk database). Of FY26 issues, 18 traded above the issue price at day 30 and 11 below.
- **JM Financial Limited** (Kampani family, listed): 13 / 27 / 19 IPOs in FY25 / FY26 / FY27 to date. Of FY26 issues, 15 traded above the issue price at day 30 and 12 below.
- **Nuvama Wealth Management Limited:** recent issues are listed in the RHP (pp. 575-578); not compiled in the desk database.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Share count	PASS	9,34,11,270 shares; no pre-IPO placement (pp. 155, 412)
2	Cash flow vs PAT	WATCH	Cumulative CFO 6% of PAT FY24-26; FY26 CFO negative (p. 417)
3	Current vs deferred tax	PASS	Current tax 27.0% of FY26 PBT (p. 412)
4	Related-party dealings	PASS	Small outside the group (pp. 99-100)
5	Objects as price floor	N.A.	Amount-based fresh issue (p. 168)
7	Goodwill	WATCH	Rs 30.32 cr after the IST acquisition (p. 457)
8	Concentration	PASS	Top customer 14.34%; top-10 64.44% (p. 307)
9	Contingent liabilities and claims	WATCH	Goa SCNs and FIR; Portugal claim Rs 59.75 cr (pp. 554-557)
R1	Auditor	WATCH	No qualifications; confirm overseas-subsidiary audit status (p. 403)
R3	Monitoring agency	PASS	Required
R6	BRLM track record	PASS	Compiled above

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Anchor allocation (26-Oct-2026)	Medium	NSE / BSE anchor report
Capex and equity commitment for the CBG plants	Medium	Management
Outcome of the ten Goa SCNs and the FIR	Medium	Post-listing disclosures
Nature of the Rs 15.11 cr rise in current prepaid expenses	Low	Issuer

Verification

- **Restated P&L reproduces:** FY26 total income Rs 821.27 cr less expenses Rs 610.53 cr = Rs 210.75 cr, plus JV share Rs 0.74 cr = PBT Rs 211.49 cr; less tax Rs 51.28 cr = PAT Rs 160.21 cr (p. 412).
- **Balance sheet balances:** Mar-26 total assets Rs 1,323.43 cr = equity Rs 823.90 cr + liabilities Rs 499.52 cr (p. 411).
- **Cash flow:** FY26 operating, investing and financing (-25.80, -66.47, +92.47) sum to the +0.19 change in cash (p. 417).
- **EBITDA reproduces the KPI table** for FY26: PBT 211.49 + finance cost 14.86 + D&A 27.85 - other income 17.64 - JV share 0.74 = Rs 235.81 cr (pp. 188, 412).
- **Workbooks:** the toolkit verification gate passed on this build.

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